

Definiteness and Preliminary Agreements: Supplement Provisions

Sources

Restatement (Second) of Contracts §§ 27, 33, 34, 204, and 362, and UCC §§ 2-204(3) and 2-305. The syllabus assigns the supplement without naming sections; these are the provisions the assigned cases apply or that govern the same questions. The Restatement describes common-law rules and is persuasive authority unless a court adopts it; the UCC provisions govern sales of goods as enacted in each state, and courts sometimes apply them by analogy to other contracts, as the Ohio Supreme Court did in *Oglebay Norton*. [§ 2-204](#); [§ 2-305](#).

The Definiteness Requirement

Restatement § 33(1) provides that even a manifestation intended as an offer cannot be accepted so as to form a contract unless the terms of the contract are reasonably certain. Under § 33(2), terms are reasonably certain if they provide a basis for determining whether a breach has occurred and for giving an appropriate remedy. Section 33(3) adds that leaving one or more terms open or uncertain may show that the parties did not intend their communications as an offer or an acceptance. Definiteness therefore does two jobs: it tests whether a court can enforce the bargain, and it serves as evidence of whether the parties meant to be bound at all. The comments recognize that the more terms the parties leave open, the less likely it is that they intended a binding agreement, and that a court may supply a reasonable price when the parties manifested an intention to conclude a contract but left price unsettled.

Several provisions reduce the demand for completeness. Section 34 treats terms as reasonably certain even when they let a party choose terms during performance, allows part performance to remove uncertainty and show that a bargain was formed, and permits action in reliance to make a contractual remedy appropriate even when uncertainty remains. Section 204 directs a court, when the parties have not agreed on a term essential to determining their rights and duties, to supply a term that is reasonable in the circumstances. Section 362 sets the corresponding limit on equitable relief: specific performance or an injunction will not be granted unless the terms are certain enough to provide a basis for an appropriate order.

Open Terms in Sales of Goods: UCC §§ 2-204(3) and 2-305

Section 2-204(3) provides that a contract for sale does not fail for indefiniteness even though one or more terms are left open, if the parties intended to make a contract and there is a reasonably certain basis for giving an appropriate remedy. Section 2-305 applies that principle to price. Under § 2-305(1), the parties can conclude a contract even though the price is not settled, and the price is a reasonable price at the time for delivery if nothing is said about price, if the price is left to be agreed and the parties fail to agree, or if the price is to be fixed by an agreed market or other standard set or recorded by a third person and it is not so set or recorded. A price to be fixed by one party must be fixed in good faith, and if a price fails to be fixed through one party's fault, the other may treat the contract as cancelled or fix a reasonable price. Under § 2-305(4), however, if the parties intended not to be bound unless the price was fixed or agreed, and it was not, there is no contract.

The Code thus reverses the common-law presumption applied in *Sun Printing*: when price is left to future agreement, the question under § 2-305 is whether the parties intended to be bound, and if they did, the court supplies a reasonable price. Section 2-305(1)(c) also addresses the failure of an external pricing index, the problem in *Oglebay Norton*, where the published rate the parties relied on ceased to exist.

Preliminary Agreements and Written Memorials

Restatement § 27 provides that manifestations of assent that are sufficient to conclude a contract are not prevented from doing so because the parties also intend to prepare and adopt a written memorial of their agreement, although the circumstances may show that the agreements are only preliminary negotiations. The comments identify circumstances that bear on that question, including the extent of agreement, whether the contract is of a type usually put in writing, whether it needs a formal writing for its full expression, whether it has few or many details, the amount involved, and whether it is common or unusual. *Teachers Insurance & Annuity Ass'n v. Tribune* builds on the same inquiry and adds a middle category: a preliminary commitment that binds the parties to negotiate open terms in good faith without binding them to the final transaction.

Reliance Without a Contract

When the parties never form a contract because terms remain open or because they did not intend to be bound, a party that relied on the other's assurances may still recover under Restatement § 90 if a promise foreseeably induced its action and injustice can be avoided only by enforcement; the remedy may be limited as justice requires. *Cyberchron* and *Dixon* apply that doctrine to assurances made during negotiations and limit recovery to reliance expenditures. Restitution for benefits conferred, sometimes pleaded as quantum meruit (recovery of the reasonable value of services or goods provided), is a separate route that depends on a benefit to the defendant rather than on a promise.

Application

Begin by asking whether the parties intended to be bound, using their language, the context of negotiations, the number and importance of open terms, any partial performance, and the customs of the relevant market. If they intended a final contract, ask whether the terms are reasonably certain enough for a court to identify a breach and fashion a remedy, and whether a missing term can be supplied by § 204, § 2-305, or an agreed standard. If they intended only to commit to negotiate, analyze a duty of good-faith negotiation as in *Tribune* and *Channel Home Centers*. If neither a contract nor a negotiation commitment exists, consider promissory estoppel and restitution. The remedy follows the theory: expectation damages or specific performance for a complete contract, damages for breach of a duty to negotiate, and reliance damages under § 90.

Teachers Insurance & Annuity Association v. Tribune Co.

Citation

Teachers Insurance & Annuity Ass'n of America v. Tribune Co., 670 F. Supp. 491 (S.D.N.Y. 1987). United States District Court for the Southern District of New York, No. 83 Civ. 0047, decided May 27, 1987, as amended June 26, 1987. Judge Pierre N. Leval wrote the opinion after a bench trial. The case concerns whether a signed loan commitment letter that left terms open bound the borrower, and it states the now-standard distinction between two kinds of binding preliminary agreements. [Full judicial opinion](#).

Parties

Teachers Insurance and Annuity Association of America (TIAA), a large institutional lender, was the plaintiff. It had issued a commitment to lend \$76 million to the Tribune Company. Tribune, the newspaper publisher, was the defendant. TIAA sought damages for Tribune's refusal to go forward with the loan; Tribune maintained that the commitment letter was not binding and that its obligation was conditioned on favorable accounting treatment that it never obtained.

Material Facts

In 1982 Tribune sought to sell the Daily News Building at 220 East 42nd Street in Manhattan. The buyer, LaSalle Partners, would pay largely through a long-term purchase-money mortgage, meaning a loan from the seller secured by the property sold. To obtain cash immediately without showing the transaction as new debt, Tribune planned to borrow a matching amount from a lender and to use "offset" accounting, under which the mortgage owed to it and the loan it owed would cancel each other on its balance sheet. Tribune circulated an offering to lenders in August 1982 and sought a firm commitment by mid-September. *670 F. Supp. at 492-93*.

On September 22, 1982, TIAA issued a commitment letter for a \$76 million loan with a fourteen-year term at a 15.25 percent yield, accompanied by a two-page term sheet covering the principal economic terms. The letter stated that upon TIAA's receipt of an accepted counterpart, the parties' agreement "shall become a binding agreement between us," and it contemplated the preparation and execution of documents satisfactory to TIAA. Nothing in the letter or term sheet made the loan contingent on Tribune's ability to use offset accounting. Tribune's lawyers had warned against signing a letter with binding-agreement language, but Tribune, fearing loss of the commitment, accepted on October 6, adding that its acceptance was subject to approval by its board of directors and to preparation of documentation satisfactory to Tribune. The board met on October 28 and authorized the borrowing, leaving final terms to its finance committee. TIAA allocated the \$76 million within its lending budget. *Id. at 493-95, 502-03*.

Meanwhile the Financial Accounting Standards Board had issued a proposal in mid-October questioning offsetting of this kind, and Tribune's accountants grew concerned. Interest rates also fell sharply, making the 15.25 percent loan much less attractive. On December 2, Tribune proposed to proceed only if the loan were conditioned on assurance that offset accounting would be available, and TIAA refused. Tribune closed the sale of the building on December 6 and did not proceed with the loan. *Id. at 495-96*.

Procedural History

TIAA sued Tribune in the Southern District of New York for breach of the commitment. After a bench trial, Judge Leval issued findings of fact and conclusions of law. Liability was decided in this opinion, and the measure of damages was reserved for later determination. New York law governed.

Issue

Did the commitment letter, which stated that it would become binding on acceptance but left terms open and contemplated final documentation, create an enforceable obligation? If it did not bind Tribune to the loan itself, did it bind Tribune to negotiate the open terms in good faith, and did Tribune breach that obligation by insisting that the loan be conditioned on offset accounting?

Rule and Holding

Preliminary agreements can create binding obligations of two types. In the first, the parties have reached complete agreement on all the issues perceived to require negotiation, and the contemplated formal document is only a memorial of an agreement already binding; either party may demand performance of the transaction. In the second, the parties express mutual commitment to a contract on agreed major terms while recognizing that other terms remain to be negotiated. That agreement does not commit the parties to their ultimate contractual objective; it commits them to negotiate the open issues in good faith within the framework they have settled. It bars a party from renouncing the deal, abandoning the negotiations, or insisting on conditions that do not conform to the preliminary agreement, but it does not guarantee that a final contract will result. Whether the parties intended to be bound is determined from their language, the context of the negotiations, the existence of open terms, partial performance, and the customary practice in the market. *Id.* at 497-99.

The commitment letter was a binding preliminary commitment of the second type. Offset accounting was not a condition of Tribune's obligation, and Tribune breached its duty to negotiate in good faith when it refused to proceed unless TIAA accepted that new condition. Tribune's refusal was primarily attributable to the decline in interest rates. *Id.* at 499-507.

Judgment

Judgment on liability was entered for TIAA, with damages to be determined in further proceedings.

Reasoning

Judge Leval began with the risks on both sides. Courts must avoid trapping parties in surprise contractual obligations they never intended, because parties commonly exchange preliminary writings while reserving the freedom to walk away. But courts should also enforce commitments parties did intend, because giving legal recognition to preliminary binding commitments serves a valuable function in the marketplace, particularly for relatively standardized transactions such as loans. A borrower that obtains a firm commitment gains certainty about its financing and can plan around it; a lender that issues one forgoes other opportunities. If either could walk away whenever the market moved, the commitment would be worthless. *Id.* at 497-99.

The first factor, the language of the agreement, strongly favored TIAA. The commitment letter called itself a binding agreement upon acceptance, and Tribune signed it as accepted and agreed. Tribune's reservations, board approval and satisfactory documentation, did not negate that intent. The board did approve the borrowing, and the court read the reservation of satisfactory documentation as consistent with a commitment on the major terms and a duty to negotiate the rest, rather than as a right to abandon the deal for any reason. *Id.* at 499-500, 503.

The context of the negotiations pointed the same way. Tribune had sought a firm commitment by a deadline because it needed certainty about the financing for the building sale. Its lawyers warned it about the binding-agreement language, and Tribune signed anyway rather than risk losing the commitment, which showed that it understood the letter to bind it. *Id.* at 500-01.

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The open terms did not defeat binding intent. The term sheet covered the major economic terms, including the amount, rate, and term of the loan. The terms left open were the kind of secondary provisions that a binding preliminary commitment contemplates the parties will negotiate. Open terms are fatal to a claim that the parties reached a fully binding final agreement, but they are consistent with a commitment to negotiate. TIAA's partial performance, allocating \$76 million of its lending capacity to the loan, and evidence that the financial community recognizes binding loan commitments, though not uniformly, supported the conclusion. *Id. at 501-03.*

Tribune's principal defense was that offset accounting was an essential condition of the deal. The court rejected it. The commitment letter contained no basis whatever for the proposition that Tribune's obligation was conditioned on assurance that it could report the loan off its balance sheet. Tribune knew the importance of the accounting treatment and could have demanded such a condition, negotiated for a right to prepay if the treatment was disallowed, or paid for an option. It instead accepted a firm commitment without the condition, because it did not want to lose the commitment. *Id. at 504-05.*

Tribune breached its obligation. When interest rates fell, it refused to proceed unless TIAA agreed to a condition outside the scope of the preliminary agreement, and when TIAA declined, it abandoned the negotiations. The court found that Tribune's position was primarily attributable to the decline in rates, which had made the loan unattractive, rather than to its accounting concerns. Insisting on a condition the preliminary agreement did not contain was exactly what the duty to negotiate in good faith forbids. The court noted that Judge Weinfeld had reached a similar result in *Teachers Insurance & Annuity Ass'n v. Butler*, 626 F. Supp. 1229 (S.D.N.Y. 1986), where a borrower refused to negotiate a prepayment term within the scope of its commitment. *Id. at 505-08.*

Separate Opinions

A single district judge decided the case after a bench trial. There is no separate opinion.

Notes

The two categories Judge Leval described are now commonly called Type I and Type II preliminary agreements; the labels come from later Second Circuit decisions applying this opinion and are standard vocabulary in the case law, although Leval described the categories without numbering them. The first type obligates the parties to the transaction itself; the second obligates them only to negotiate in good faith within the agreed framework, so the injured party's remedy is for the failed negotiation, and the measure of damages is contested. The opinion reserved damages, so it does not settle whether TIAA could recover the benefit of the lost loan or only its reliance losses.

The case connects to *Sun Printing*. Cardozo held that an agreement to agree on price and term left the seller free to refuse, but he noted that the buyer had not sued for an arbitrary refusal to negotiate. *Tribune* recognizes that claim when the parties intended to commit to negotiate. The limits matter: the duty does not require either party to accept terms it reasonably rejects, and a party may fail to reach agreement without liability if it negotiated in good faith. The breach lies in renouncing the deal, abandoning negotiations, or demanding terms outside the agreed framework.

Dixon v. Wells Fargo Bank, N.A.

Citation

Dixon v. Wells Fargo Bank, N.A., 798 F. Supp. 2d 336 (D. Mass. 2011). United States District Court for the District of Massachusetts, Civil Action No. 11-10585, memorandum and order of July 22, 2011, by Judge William G. Young. The case concerns whether homeowners stated a promissory estoppel claim based on a lender's promise to consider them for a loan modification if they stopped making payments. [Full judicial opinion](#).

Parties

Frank and Deana Dixon, homeowners in Scituate, Massachusetts, were the plaintiffs. Wells Fargo Bank, N.A., which held the mortgage on their home, was the defendant. The Dixons sought to stop the foreclosure of their home and to hold Wells Fargo to its promise; Wells Fargo moved to dismiss, arguing that no enforceable promise existed and that federal law preempted the claim.

Material Facts

The facts come from the complaint, which the court accepted as true on a motion to dismiss. On or about June 8, 2009, the Dixons and Wells Fargo orally agreed to take the steps necessary to enter into a modification of their mortgage loan. Wells Fargo instructed them to stop making payments on the loan and told them that the unpaid payments would be added to the modified note. It also asked for financial information, which the Dixons promptly supplied. The Dixons stopped paying. Wells Fargo never completed the modification process. On or about December 8, 2010, the Dixons received notice from the Massachusetts Land Court that Wells Fargo was proceeding with foreclosure. The value of their home exceeded the loan balance and any arrearage. *798 F. Supp. 2d at 339*.

Procedural History

The Dixons sued in Massachusetts Superior Court, which issued a preliminary injunction against the foreclosure on February 14, 2011. Wells Fargo removed the case to federal court and moved to dismiss under Federal Rule of Civil Procedure 12(b)(6), which tests whether the complaint states a claim on which relief can be granted. At a hearing on May 9, 2011, Judge Young dismissed the breach of contract claim as insufficiently pleaded and took the promissory estoppel claim and Wells Fargo's preemption defense under advisement. This opinion explains the ruling on those remaining issues. *Id. at 338-39*.

Issue

Does a lender's promise to consider borrowers for a loan modification if they stop making payments and provide financial information support a claim for promissory estoppel under Massachusetts law, even though the promise is too indefinite to create a contract to modify the loan? Is such a claim preempted by the Home Owners' Loan Act and its regulations?

Rule and Holding

Massachusetts enforces promises by virtue of reliance under Restatement (Second) of Contracts § 90. The promise must be definite enough to show a commitment, but it need not be so comprehensive that it would qualify as an offer that could ripen into a contract. A promise to consider borrowers for a loan modification, conditioned on their defaulting and supplying financial information, is sufficiently definite when the borrowers took those steps in reasonable reliance and the lender then used the default to foreclose. Recovery is confined to the value of the borrowers' reliance, which avoids converting preliminary negotiations into a binding modification. The claim was not preempted, because it seeks to enforce a general duty to honor promises that applies to all businesses rather than to regulate lending. *Id.* at 340-59.

Judgment

The court denied Wells Fargo's motion to dismiss as to the promissory estoppel claim and placed the case on the September 2011 trial list. The breach of contract claim had already been dismissed.

Reasoning

The contract claim failed because the Dixons alleged at most an agreement to enter into a loan modification whose terms were left for future negotiation, and such an agreement is too indefinite to be enforced. The Dixons clarified that they did not seek a modification; they sought to hold Wells Fargo to its promise to consider them for one. *Id.* at 339, 341.

Massachusetts courts had avoided the label "promissory estoppel" since *Loranger Construction Corp. v. E.F. Hauserman Co.*, 376 Mass. 757 (1978), but they enforce promises by virtue of reliance and treat such a claim as equivalent to a contract claim without consideration. They have adopted § 90, under which a promise that the promisor should reasonably expect to induce action or forbearance, and that does induce it, is binding if injustice can be avoided only by enforcement. Some Massachusetts decisions required the promise to be definite and certain in its terms. Judge Young read § 90 and the Restatement's definition of a promise in § 2 to require a commitment, meaning a manifestation of intention to act or refrain from acting in a specified way, but not a promise comprehensive enough to be an offer, citing *Hoffman v. Red Owl Stores, Inc.* for the same point. *Id.* at 340-44.

Massachusetts cases had applied reliance-based recovery where one party's pattern of conduct kept the other on a string during negotiations, as in *Pappas Industrial Parks, Inc. v. Psarros* and *Greenstein v. Flatley*. A Superior Court decision had allowed a similar claim where a bank encouraged a borrower to default to obtain a discounted payoff and the loan was then sold to a buyer who foreclosed. The Dixons' allegations fit that pattern. Wells Fargo told them that stopping payment and submitting financial information were the steps necessary to obtain a modification; it should have known, and must have intended, that they would take those steps expecting a modification. Its promise to consider them therefore carried, as a matter of fair dealing, an undertaking not to foreclose on the basis of the very default its promise had produced. Only because the Dixons relied and stopped paying was Wells Fargo able to begin foreclosure, and foreclosing without warning was, the court wrote, unseemly conduct at best. *Id.* at 344-46.

The court addressed the concern that enforcing promises made during negotiations would restrict parties' freedom to negotiate by limiting the remedy. If the Dixons proved their allegations, their damages would be confined to the value of their expenditures in reliance on the promise. A footnote illustrated the idea: the Dixons would be restored to their position before the default by resuming their original payments, with the missed payments added to the loan balance and amortized over the life of the loan; if they could not resume

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payments, Wells Fargo could foreclose. The remedy protects reliance without imposing a modification the parties never agreed to. *Id.* at 346-47, 349 n.2.

The court then rejected preemption under the Home Owners' Loan Act (HOLA) and the Office of Thrift Supervision regulation, 12 C.F.R. § 560.2. The Dixons did not seek a modification or any particular loan terms, so the claim did not purport to impose requirements on loan terms or servicing. Contract and tort law are presumptively not preempted, and promissory estoppel is not designed to regulate lending; all businesses owe the duty to honor promises made. Because HOLA provides no private right of action, Congress could not have intended to deny borrowers traditional state-law remedies for a lender's unfair conduct. *Id.* at 354-59.

Separate Opinions

A single district judge decided the motion. There is no separate opinion.

Notes

The case separates two questions that indefiniteness can blur. The alleged promise to modify the loan was too indefinite to be a contract, because its terms were left for negotiation. The narrower promise to consider the Dixons for a modification, together with the instruction to stop paying, was definite enough to support reliance-based recovery. The remedy tracks that distinction: the Dixons could not obtain the modification they hoped for, but they could be protected against the loss caused by defaulting at the bank's direction.

The decision arose on a motion to dismiss, so it holds only that the allegations stated a claim; the facts remained to be proved at trial. It also reflects the context of the post-2008 foreclosure crisis, which the court discussed at length. Compared with *Cyberchron*, *Dixon* relies more heavily on the lender's opportunistic conduct in using a default it induced, while *Cyberchron* emphasizes a buyer's demands for continued performance during a negotiation it then abandoned; both cases limit recovery to reliance.

Cyberchron Corp. v. Calldata Systems Development, Inc.

Citation

Cyberchron Corp. v. Calldata Systems Development, Inc., 47 F.3d 39 (2d Cir. 1995). United States Court of Appeals for the Second Circuit, argued March 17, 1994, decided February 1, 1995. Judge Mahoney wrote the opinion for a panel that included Judge Walker and Judge Sprouse. The case concerns recovery by a supplier that produced goods at the buyer's urging while the parties failed to agree on essential terms. [Full judicial opinion](#).

Parties

Cyberchron Corporation, a manufacturer of rugged computer equipment, was the plaintiff. Calldata Systems Development, Inc., a subsidiary of Grumman Data Systems, was the defendant; the opinion refers to the defendant's side of the negotiations as Grumman. Cyberchron sought payment for equipment it built; Calldata denied that any contract existed.

Material Facts

Grumman held a Marine Corps contract for the Advanced Tactical Air Command Central, a combat command and control system. It negotiated with Cyberchron to supply rugged computer components: a video processor, a workstation, and a color monitor. The parties negotiated extensively but never agreed on the weight of the components or on penalties for exceeding weight limits. A May 15, 1990 purchase order specified a combined weight of 145 pounds and severe overweight penalties, terms Cyberchron never accepted. *47 F.3d at 40-42*.

In July 1990 a Grumman representative told Cyberchron to proceed as if a new set of weights had been approved and said that the parties would work out the formal terms later; when Cyberchron asked for written confirmation, he declined but said Cyberchron should proceed. In August 1990, Grumman's director of material told Cyberchron that it had a responsibility and obligation to continue performing to maintain the schedule, and indicated that Cyberchron could assume it would be paid. Meanwhile Grumman was negotiating with another supplier, Codar Technology. On September 25, 1990, Calldata terminated the purchase order for default, no equipment having been delivered or paid for, and later bought heavier and inferior equipment from Codar. Between July 15 and September 25, 1990, Cyberchron spent \$162,824.19 on labor and materials. *Id. at 41-43*.

Procedural History

Cyberchron sued in the Eastern District of New York. After a bench trial, Judge Spatt held that no contract had been formed because the parties never agreed on two essential terms, the weights of the components and the weight penalties, and he dismissed Cyberchron's contract and quantum meruit claims and Calldata's counterclaim. He awarded Cyberchron \$162,824.19 on a promissory estoppel theory, consisting of \$53,588.40 for materials and \$109,235.79 for labor incurred between July 15 and September 25, 1990, but excluded overhead, lost profits, and shutdown costs. Both parties appealed. New York law governed. *Id. at 43*.

Issue

Where negotiations never produced a contract because essential terms remained unresolved, could the supplier recover under promissory estoppel for costs incurred after the buyer insisted that it continue performing? If so, what measure of reliance damages applies, and does it include overhead and shutdown costs?

Rule and Holding

No contract exists where the parties never reached a meeting of the minds on essential terms, and the district court's finding to that effect was not clearly erroneous. Under New York law, promissory estoppel requires a clear and unambiguous promise, reasonable and foreseeable reliance by the party to whom the promise is made, and injury sustained by reason of the reliance. Grumman's July and August 1990 assurances and demands were such a promise, Cyberchron's reliance was reasonable and foreseeable, and its injury was unconscionable, so injustice could be avoided only by enforcing the promise. Recovery is limited to reliance damages, which include reasonable overhead where the claimant has a demonstrable history of ongoing business operations, and shutdown costs incurred because of reliance on the promise. *Id.* at 43-46.

Judgment

The Second Circuit affirmed the judgment insofar as it allowed recovery on promissory estoppel, but vacated the judgment and remanded for a redetermination of damages consistent with its opinion, leaving the district court free to take additional proof.

Reasoning

The court first upheld the no-contract finding. The weights of the components and the penalties for exceeding them were essential terms, the parties never agreed on them, and the purchase order's termination-liability provision could not independently support recovery because it presupposed a valid purchase order. *Id.* at 43-44.

On promissory estoppel, the court applied the elements stated in *Ripple's of Clearview, Inc. v. Le Havre Associates*, 88 A.D.2d 120 (2d Dep't 1982). The promise was clear and unambiguous: Grumman told Cyberchron to proceed as if the new weights were approved, refused to put the assurance in writing but repeated that Cyberchron should proceed, and later insisted that Cyberchron was obligated to continue performing and could expect payment. Reliance was reasonable and foreseeable, because Grumman was demanding exactly the performance Cyberchron undertook. Some New York decisions required that the injury be unconscionable, and Calldata relied on *Swerdloff v. Mobil Oil Corp.* for a narrow view of the doctrine. The court concluded that *Ripple's* stated the New York rule and that, in any event, the injury here was unconscionable: Grumman pressed Cyberchron to produce at great expense while negotiating with a competitor, then abruptly terminated and bought heavier, inferior equipment elsewhere. Injustice could be avoided only by enforcing the promise. *Id.* at 44-45.

Recovery was limited to the period after the clear promise. Expenditures before July 15, 1990, when the parties were still negotiating without such assurances, were not recoverable. *Id.* at 45.

On damages, the court agreed that promissory estoppel recovery is limited as justice requires and here consisted of reliance damages rather than lost profits. It disagreed with the exclusion of overhead. Overhead is an actual cost of doing business, and nearly every business allocates it by standard accounting methods; the parties themselves had negotiated how overhead would be allocated. A claimant need not prove that an alternative project would have absorbed the overhead; a demonstrable history of ongoing operations suffices. Shutdown costs incurred after termination were also recoverable to the extent they resulted from reliance on Calldata's promises, but not to the extent they would have been incurred anyway. *Id.* at 45-46.

Separate Opinions

The panel was unanimous. The reported decision contains no concurrence or dissent.

Notes

Cyberchron shows how definiteness and reliance divide the work. The failure to agree on weights defeated the contract claim entirely, because a court could not identify what *Cyberchron* had promised to deliver. The narrower promise, to pay for work done at Grumman's insistence during negotiations, was clear enough to enforce under § 90. The measure of recovery reflects that difference: *Cyberchron* recovered what it spent, not the profit it expected from a contract that never existed.

The case is also a statement of New York promissory estoppel law. The court read *Ripple's* three elements as the governing test and treated the unconscionable-injury requirement found in some New York decisions as satisfied here rather than rejecting it outright, so later courts have divided over whether New York requires unconscionable injury outside the statute-of-frauds context. The timing limit is important for application: only reliance after the clear promise is protected, so costs a party incurs while it knows terms are unsettled and no assurance has been given remain its own risk.

Channel Home Centers, Division of Grace Retail Corp. v. Grossman

Citation

Channel Home Centers, Division of Grace Retail Corp. v. Grossman, 795 F.2d 291 (3d Cir. 1986). United States Court of Appeals for the Third Circuit, argued January 7, 1986, decided June 30, 1986. Judge Becker wrote the opinion for a panel that included Judges Weis and Higginbotham. The case concerns whether a letter of intent's promise to negotiate exclusively and to take property off the market was an enforceable contract. [Full judicial opinion](#).

Parties

Channel Home Centers, a home improvement retail chain operated as a division of Grace Retail Corporation, was the prospective tenant and the plaintiff. Frank Grossman, a real estate developer, and the entities through which he was acquiring a shopping mall were the defendants. Channel sought to enforce the letter of intent and to stop Grossman from leasing the space to a competitor; Grossman maintained that the letter was a nonbinding preliminary document.

Material Facts

Between November 1984 and February 1985, Grossman was acquiring the Cedarbrook Mall in Cheltenham Township, Pennsylvania, and needed to show prospective tenants to lenders to obtain financing. Channel became interested in leasing space. On December 11, 1984, Channel sent Grossman a detailed letter of intent describing a 25-year lease of about 70,400 square feet, with a rent schedule and percentage rent. The letter stated: "To induce the Tenant to proceed with the leasing of this Store, you will withdraw the Store from the rental market, and only negotiate the above described leasing transaction to completion." Grossman had requested such a letter so that he could show it to "other people, banks or whatever," and he promptly signed and returned it. 795 F.2d at 292-93.

Both sides then worked toward a lease. Channel spent about \$25,000 on measurements, plans, marketing, and equipment, and its parent approved the lease in February 1985. Grossman applied for zoning permits for Channel's signs and exchanged draft lease documents. In late January 1985, Mr. Good Buys, a competitor of Channel, contacted Grossman and toured the space. On February 6, 1985, Grossman terminated negotiations with Channel, asserting a 30-day deadline that did not appear in the letter, and on February 7 he leased the space to Mr. Good Buys at a substantially higher rent. *Id.* at 293-96.

Procedural History

Channel sued in the Eastern District of Pennsylvania under diversity jurisdiction and sought a preliminary injunction. The district court consolidated the injunction hearing with a trial on the merits under Federal Rule 65(a)(2) without clear advance notice, and it held the letter of intent unenforceable because it did not bind the parties, lacked consideration, and failed to satisfy Pennsylvania's statute of frauds for leases. It also rejected Channel's alternative unilateral-contract and promissory estoppel theories. Channel appealed. *Id.* at 297-98.

Issue

Under Pennsylvania law, is a landlord's promise in a signed letter of intent to take the premises off the market and negotiate the lease only with the prospective tenant an enforceable contract, even though the lease itself remained to be negotiated? Specifically, did the parties intend to be bound by that promise, was it supported by consideration, and was it sufficiently definite?

Rule and Holding

An agreement to negotiate in good faith, if it otherwise meets the requirements of a contract, is an enforceable contract. Under Pennsylvania law, enforceability depends on whether the parties manifested an intention to be bound, whether the terms are sufficiently definite to be enforced, and whether there was consideration. The evidence would support a finding that the parties intended to be bound by Grossman's promise to withdraw the store from the market and negotiate exclusively with Channel; the promise was definite enough to enforce; and Channel's execution and delivery of the letter, which Grossman wanted in order to obtain financing, was consideration for it. The statute of frauds did not apply because Channel did not claim that the letter was a lease. *Id. at 298-301.*

Judgment

The Third Circuit reversed the judgment of the district court and remanded for further proceedings, including a trial on whether the parties intended to be bound and on the duration of the obligation to negotiate.

Reasoning

The court first addressed procedure. Rule 65(a)(2) permits a court to consolidate a preliminary injunction hearing with trial on the merits, but parties must receive clear and unambiguous notice. The district court failed to give it, but because the court later offered a further hearing that Channel declined, the error did not by itself require reversal. The statute of frauds was irrelevant because Channel conceded that the letter was not a final lease and sought to enforce only the promise to negotiate. *Id. at 297-98.*

On intent, the court looked to the entire letter and the surrounding circumstances. Most of the letter described proposed lease terms that the parties plainly expected to negotiate further, but the exclusive-negotiation clause was unequivocal: Grossman would withdraw the store from the market and negotiate only with Channel. The parties' conduct after signing, including Channel's planning expenditures, Grossman's zoning applications for Channel's signs, and the exchange of draft leases, was consistent with a binding commitment. That evidence was sufficient to support a finding of intent to be bound, though it did not compel that finding as a matter of law. *Id. at 299.*

On definiteness, the court distinguished an unenforceable agreement to agree on the lease itself from Grossman's promise to take the property off the market and negotiate exclusively with Channel. That promise was a specific, discrete undertaking whose breach a court could identify. Relying on decisions from other jurisdictions, the court held that an agreement to negotiate in good faith, if it otherwise meets the requirements of a contract, is enforceable. *Id. at 299-300.*

On consideration, the court rejected the argument that no money or thing of value supported the promise. Grossman requested the letter so that he could show it to lenders, and Channel's signature, backed by its corporate parent, strengthened his financing position. Channel's execution and tender of the letter was therefore of substantial value to Grossman and constituted bargained-for consideration for his promise. *Id. at 300.*

On remand, the court identified at least two issues for trial: whether the parties in fact intended to be bound by the exclusive-negotiation promise, and how long the duty to negotiate lasted, including whether Grossman's claimed 30-day limit had been agreed and, if not, what period was reasonable. Because it reversed on the contract theory, the court did not reach Channel's promissory estoppel and unilateral-contract arguments. *Id. at 301.*

Separate Opinions

The panel was unanimous. The reported decision contains no concurrence or dissent.

Notes

Channel Home Centers enforces a narrow promise inside a letter of intent that was otherwise nonbinding. The lease terms were not enforceable, and Channel could not obtain the lease; what Grossman promised was exclusivity and good-faith negotiation. That distinction matters for remedies. Damages for breach of a duty to negotiate are difficult to measure, because it is uncertain whether good-faith negotiation would have produced a lease, and courts have divided over whether the injured party may recover lost expectation or only reliance.

The case parallels the second category in *Tribune*: both enforce a commitment to negotiate while leaving the final transaction unenforced. The consideration analysis is distinctive. Channel's promise was not needed; its act of signing a letter Grossman could show to lenders supplied the benefit Grossman bargained for. Drafters now commonly include explicit statements that a letter of intent is nonbinding except for identified provisions, such as exclusivity or confidentiality, precisely to control the question this case sent to trial.

Sun Printing & Publishing Ass'n v. Remington Paper & Power Co.

Citation

Sun Printing & Publishing Ass'n v. Remington Paper & Power Co., 235 N.Y. 338, 139 N.E. 470 (1923). New York Court of Appeals, decided April 17, 1923. Judge Cardozo wrote the opinion for a five-judge majority that included Chief Judge Hiscock and Judges Pound, McLaughlin, and Andrews. Judge Crane dissented, joined by Judge Hogan. The case concerns whether a contract leaving price and the period for which each price would apply to future agreement was enforceable. [Full judicial opinion](#).

Parties

Sun Printing and Publishing Association, a newspaper publisher, was the buyer and the plaintiff. Remington Paper and Power Company, a newsprint manufacturer, was the seller and the defendant. The buyer sought damages for the seller's refusal to deliver paper during 1920; the seller maintained that its obligation for those months had never been fixed.

Material Facts

In September 1919 the seller agreed to sell and the buyer agreed to buy 1,000 tons of newsprint per month from September 1919 through December 1920, a total of 16,000 tons. The contract fixed the price for September at \$3.73¾ per hundred pounds and for October through December 1919 at \$4.00 per hundred pounds. For the rest of the contract, it provided that "the price of the paper and length of terms for which such price shall apply shall be agreed upon by and between the parties hereto fifteen days prior to the expiration of each period for which the price and length of term thereof have been previously agreed upon," the price "in no event to be higher than the contract price for newsprint charged by the Canadian Export Paper Company to the large consumers." 235 N.Y. at 342-43.

The seller delivered and was paid for the paper due from September through December 1919. It then refused to agree on any price for 1920 and declined further performance, asserting that the contract was incomplete. The buyer demanded delivery at the Canadian Export Paper Company's price, renewing the demand each month throughout 1920, and sued when the seller refused. *Id.* at 343.

Procedural History

The case was decided on the pleadings. Special Term, the trial-level part of New York's Supreme Court, ruled for the seller. The Appellate Division reversed and certified a question to the Court of Appeals, which asked in substance whether the complaint stated a cause of action.

Issue

When a sales contract leaves the price and the period for which each price will apply to future agreement, subject to a maximum price set by an external standard, is the seller bound to deliver at that maximum price if the parties fail to agree, or is the provision an unenforceable agreement to agree?

Rule and Holding

An agreement that leaves essential terms to future agreement is not an enforceable contract as to those terms, and a court may not supply them by construction. Because the parties left open both the price and the length of the term during which each price would apply, and because agreement on time was as essential as agreement on price, the provision for 1920 was an agreement to agree. The seller was not bound to deliver at the Canadian price. The Court expressly did not decide whether the seller would have breached a duty by an arbitrary refusal to agree on a term after notice from the buyer, because the complaint did not rest on that theory. *Id. at 344-47.*

Judgment

The Court of Appeals reversed the order of the Appellate Division, affirmed the judgment of Special Term for the seller, and answered the certified question in the negative, with costs.

Reasoning

The buyer argued that because the price for 1920 could not exceed the Canadian Export Paper Company's price, the seller was bound to deliver at that price if the parties failed to agree on a lower one. Cardozo agreed that the Canadian price was a maximum but held that the argument overlooked the second open term. The parties were to agree not only on a price but on the length of the period for which that price would apply, and the price, once fixed, would remain fixed during that period even if the Canadian price changed. Agreement on a maximum payable this month, he wrote, is not the same as agreement that it shall continue to be payable next month. *Id. at 344.*

Without an agreed period, a court could not determine which Canadian price governed which deliveries. If the buyer could invoke the Canadian price month by month, it would hold not one option but a dozen, able to take advantage of whatever price prevailed each month, while the parties had contemplated stability and certainty over agreed periods. The complaint therefore left no escape from the conclusion that agreement on time was as essential to a completed contract as agreement on price. *Id. at 344-46.*

The buyer also argued that the seller had a duty, in default of agreement, to accept a term reasonable in view of the nature of the transaction and the practice of the business. Cardozo rejected that standard. The seller reserved the privilege of doing its business in its own way and did not undertake to conform to the practice and beliefs of others; to hold it to a standard of reasonableness would be to make the contract over, and courts are not at liberty to revise while professing to construe. *Id. at 345-46.*

Cardozo closed by limiting the holding. The question whether the seller would have failed in a duty by an arbitrary refusal to reach any agreement on time after notice from the buyer was not presented. No such notice appeared in the complaint, and the action was not based on a refusal to negotiate and attempt to reach agreement. *Id. at 346-47.*

Separate Opinions

Judge Crane, joined by Judge Hogan, dissented. The parties were business people who used a formal contract, drafted by the seller, to bind themselves to buy and sell 16,000 tons of paper, and a court should presume they intended a binding agreement and give effect to it if possible. On December 15, 1919, a definite Canadian Export price existed; if the buyer offered to pay that maximum, the seller was bound to deliver. Crane offered several workable constructions: hold the seller to deliver the remaining paper at the Canadian price; apply the Canadian price in effect on the fifteenth of each month to that month's thousand tons; or fix a reasonable period in light of the circumstances and the practice of the paper trade. Letting the seller escape when any of these constructions would produce a practical and just result, he wrote, would give the sanction of law to a deliberate breach. *Id.* at 348-51 (*Crane, J., dissenting*).

Notes

Sun Printing is a leading statement of the common-law rule that an agreement to agree on essential terms is unenforceable, and its facts show why the rule has costs: a seller facing a rising market could escape a sixteen-month supply contract by refusing to agree. The Uniform Commercial Code rejects the premise. Under § 2-305(1)(b), when the parties intended to be bound but leave price to be agreed and fail to agree, the price is a reasonable price at the time for delivery, and § 2-204(3) saves contracts with open terms when the parties intended to contract and a court has a reasonably certain basis for a remedy. The case might come out differently today, although § 2-305(4) preserves the result if the parties intended not to be bound unless the price was agreed.

The reservation at the end of the opinion links the case to the precontractual-liability materials. Cardozo left open a claim that the seller arbitrarily refused to negotiate after notice, the kind of claim later recognized in *Tribune* and *Channel Home Centers* when parties commit to negotiate. Crane's dissent anticipates *Oglebay Norton's* approach of honoring the parties' intent to be bound by filling the gap with a reasonable term.

Oglebay Norton Co. v. Armco, Inc.

Citation

Oglebay Norton Co. v. Armco, Inc., 52 Ohio St. 3d 232, 556 N.E.2d 515 (1990). Supreme Court of Ohio, decided July 11, 1990. The opinion was issued per curiam, meaning by the court as a whole without a named author, and Chief Justice Moyer and Justices Sweeney, Holmes, Douglas, Wright, H. Brown, and Resnick concurred. The case concerns whether a court may enforce a long-term contract after both of its pricing mechanisms fail, by setting a reasonable price and ordering the parties to negotiate and mediate future prices. [Full judicial opinion.](#)

Parties

Oglebay Norton Company, which operated a fleet of Great Lakes bulk vessels, was the carrier and the plaintiff. Armco, Inc., a steel producer, was the shipper and the defendant. Oglebay sought a declaration that the contract remained in force and a determination of the rate; Armco contended that the contract had become unenforceable because its pricing mechanisms had failed.

Material Facts

Under a 1957 long-term contract, Oglebay agreed to maintain vessel capacity sufficient to carry up to 7.1 million gross tons of Armco's iron ore per year on the Great Lakes, and Armco agreed to use that capacity. Later amendments extended the contract through 2010, and a 1962 amendment gave Armco a contractual right to seek specific performance of Oglebay's obligations. The parties had a long and close relationship that included joint ventures, interlocking directorates, and Armco's ownership of Oglebay stock. *52 Ohio St. 3d at 233-35.*

The contract set the rate through two mechanisms. The primary mechanism looked to the rate recognized by leading iron ore shippers, which in practice was the published rate for a leading shipper in *Skillings Mining Review*. If no such rate existed, a secondary mechanism required the parties to agree on a rate taking into consideration the rates charged by leading independent vessel operators. The mechanism worked for decades, but in the mid-1980s, as the steel industry declined, it failed. For 1985 the published rate was \$7.41 per gross ton, and Armco paid only \$5.00. After 1985 the journal stopped publishing the rate, and information about independent carriers' rates could not be obtained. The parties could not agree on a rate, and Armco took the position that the contract was no longer enforceable. *Id. at 234-35.*

Procedural History

Oglebay sought declaratory relief in the Court of Common Pleas. The trial court found that the parties intended to be bound despite the failure of the pricing mechanisms. Relying on the parties' course of dealing, the detriment each would suffer, and market comparisons reflecting the depressed state of the steel industry, it set a reasonable rate of \$6.25 per gross ton for the 1986 season. It also ordered the parties to negotiate a rate for each shipping season through 2010 and, if negotiations failed, to mediate, and it retained continuing jurisdiction. The court of appeals affirmed, and the Supreme Court of Ohio heard Armco's appeal. *Id. at 235-36.*

Issue

When both pricing mechanisms in a long-term contract fail, did the parties still intend to be bound? If so, may the court determine a reasonable price, and may it exercise continuing equitable jurisdiction by ordering the parties to negotiate future rates and, failing agreement, to mediate?

Rule and Holding

Whether the parties intended to be bound despite the failure of their pricing mechanisms is a question of fact, and competent, credible evidence supported the trial court's finding that they did. When the parties intended to conclude a contract but the price is not settled, a court may determine a reasonable price, as Restatement (Second) of Contracts § 33 and its comments and UCC § 2-305(1), adopted in Ohio as R.C. 1302.18(A), recognize. The \$6.25 rate fell within the range of reasonable rates the evidence established. Because damages for breach of a contract of this length in a volatile market would be speculative, the trial court could order the equivalent of specific performance and require the parties to negotiate and, if necessary, mediate future rates. *Id. at 235-38.*

Judgment

The Supreme Court of Ohio affirmed the judgment of the court of appeals.

Reasoning

On intent, the court deferred to the trial court's finding, which rested on the parties' long relationship, their course of dealing, and the importance of the contract to both. Armco needed dedicated capacity and Oglebay had maintained its fleet to supply it. Nothing in the record showed that the parties intended the entire arrangement to end if the published rate disappeared. *Id. at 235.*

On the rate, the court relied on Restatement § 33. Comment e recognizes that parties who intend to conclude a contract may leave the price unsettled, and a court may then supply a reasonable price; comment a notes that the parties' actions may show conclusively that they intended a binding agreement even though terms are missing. UCC § 2-305(1) states the same principle for sales of goods. Ohio precedent was consistent: *Normandy Place Associates v. Beyer* enforced an agreement where the parties manifested intent to be bound and the terms were sufficiently definite, and *Litsinger Sign Co. v. American Sign Co.* held that a court should not frustrate the parties' intent to be bound if it is reasonably possible to fill gaps. Evidence of other carriers' rates, including \$7.41 paid by another steel producer and \$5.90 quoted by another carrier for 1986, placed the \$6.25 rate within a reasonable range. *Id. at 236-37.*

On the remedy, the court applied Restatement § 362, which permits specific performance when the terms are sufficiently certain to provide a basis for an appropriate order, allowing the court to use the usual aids, including usage and terms supplied by law. Damages were an inadequate remedy because the dramatic changes in Great Lakes shipping rates and the length of the contract would make it impossible to calculate Oglebay's damages accurately. The parties' 1962 amendment had itself contemplated specific performance. Ordering negotiation and, if it broke down, mediation neither added to nor detracted from the parties' obligations; it provided a practical means of carrying out a contract the parties had intended to last until 2010. *Id. at 237-38.*

Separate Opinions

The opinion was per curiam, and all seven justices concurred. There is no separate opinion.

Notes

Oglebay Norton is the modern counterpart to *Sun Printing*. In both, the parties left price to an external standard and to future agreement, and the standard failed. Cardozo treated the open terms as proof that no contract existed for the unpriced period; the Ohio court treated the parties' intent to be bound as controlling and supplied the missing term. The difference reflects the Code and Restatement principles in § 2-305 and § 33, the length and importance of the relationship, and the parties' decades of performance, which made intent to be bound much easier to find.

Two points about scope are important. The contract was for transportation services, so the court applied § 2-305 by analogy rather than directly. And the mediation remedy is unusual: courts rarely supervise ongoing negotiations, and the court justified doing so by the parties' unique, long-lasting relationship, the inadequacy of damages, and the parties' own provision for specific performance. The case also illustrates why § 2-305(1)(c) addresses the failure of an agreed market standard: when the index disappears, the question becomes whether the parties would have wanted the contract to continue at a reasonable price, and a long relational contract makes that answer more likely to be yes.